INVENTORY MANAGEMENT

[Internal]

[UTTHUNGA]

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CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

SL. No.	Document Version No.	Change Description	Reason For change	Date Prepared By	Date Reviewed By	Date Approved By
1	0.1	Inventory Management	Preparation	28-Feb-25 Arun Prasad M		
2	1.0	Inventory Management	New implementation		28-Mar-2025 Santosh V	28-Mar-2025 Sanmangala MS
3	Issue C Version 1.0	Review of document	New version update of IMS	Anitha N 01-Aug-2025	Santosh V 08-Aug-25	Sanmangala M S 14-Aug-2025

1 Purpose

The purpose of this document is to outline the standard operating procedure for inventory management in utthunga. This ensures consistency, accuracy, and control over inventory levels, minimizes stock-outs or overstocking, and ensures operational efficiency.

2 Scope

This SOP applies to all employees involved in the management of inventory, including procurement, warehousing, distribution, manufacturing and project delivery. It covers inventory receiving, storing, tracking, stock level monitoring, and inventory reporting.

3 Abbreviations

a. MMC – Master Material Code

b. GRN – Goods Receipt Note

c. FIFO – First In First Out.

d. ERP – Enterprises Resource Planning

e. CSI – Customer Supplied Item

4 Terms and Definitions

a. Inventory: The goods and materials a business holds for the purpose of project usage or for manufacturing or a complete list of items such as property, goods in stock.

b. Asset Id – An unique identification allocated to the procured or customer supplied items.

c. Stock Levels: The quantity of inventory available in the warehouse.

d. Reorder Point: The inventory level at which new stock should be ordered to avoid stockouts.

e. Inventory turnover ratio: Measures how often inventory is used and replenished during a given period.

f. Backorders: The number of times materials required for the project are out of stock or on backorder.

g. Cost of inventory holding: The costs associated with storing and managing inventory, including warehousing, insurance, handling, and depreciation.

h. On-time delivery Rate: The percentage of materials delivered on time as per the project schedule or procurement timeline.

i. Material Usage Efficiency: The amount of material used compared to the initial project estimate or planned usage.

j. Inventory Accuracy: The degree to which physical inventory matches the inventory records (system accuracy).

k. Excess Inventory: The percentage of inventory that is no longer needed or has become obsolete for the project.

l. Return Rate of Materials: The percentage of materials that were ordered but not used and were returned to suppliers.

m. Lead Time Variance: The difference between the expected lead time for procurement and the actual time it takes to receive materials.

n. Safety stock levels: The extra inventory kept on hand to account for uncertainties in demand or supply delays

5 Responsibilities

a. Inventory Manager: Responsible for overseeing the inventory process, ensuring accurate stock records, and handling stock discrepancies.

b. Procurement Manager: Responsible for ordering inventory and maintaining vendor relationships.

c. Store In charge: Responsible for receiving, storing, and managing stock in the warehouse.

d. Project Manager: Responsible for ensuring the availability of materials as per project requirements.

e. Site Manager: Responsible for setup of stores and monitor the stores activities.

f. Production supervisor: Requisition of materials/items/equipment's as per production/project requirements.

6 RACI

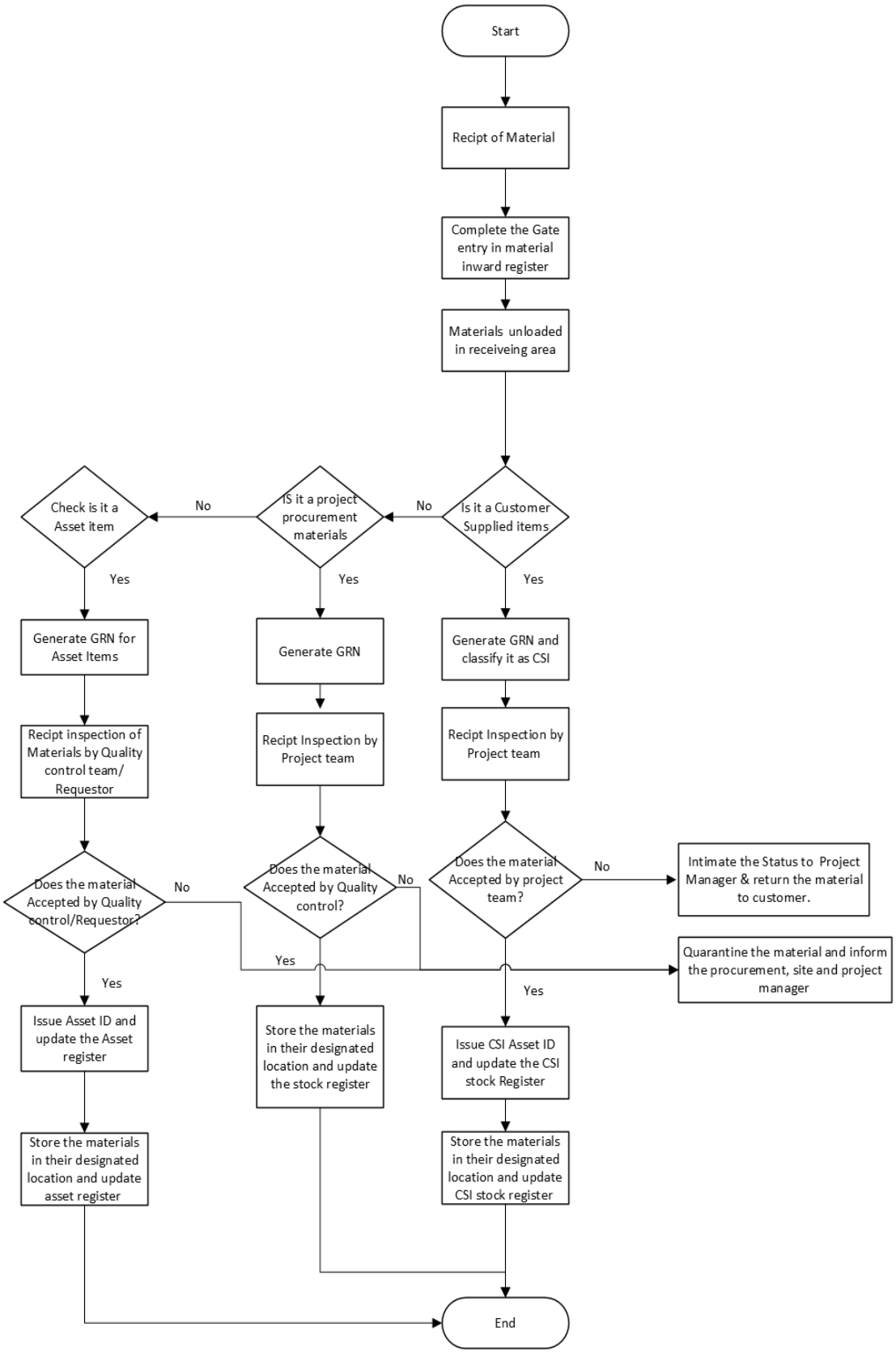
Process	Responsible	Accountable	Consulted	Informed
GRN Entry	Store In charge	Inventory Manager	Project team	Site manager Project Manager Procurement manager
GRN Approval	Project team	Project Manager	Site manager	Procurement manager Inventory manager
Purchase receipt/invoice	Store in charge	Inventory manager	Procurement Manager	Finance team
Inventory handling	Store in charge	Inventory manager	Project manager Site manager Production supervisor	Delivery head Finance Head Top management
Stock transfer	Store in charge	Inventory Manager	Site manager Project Manager	Procurement manager Delivery head

7 SIPOC

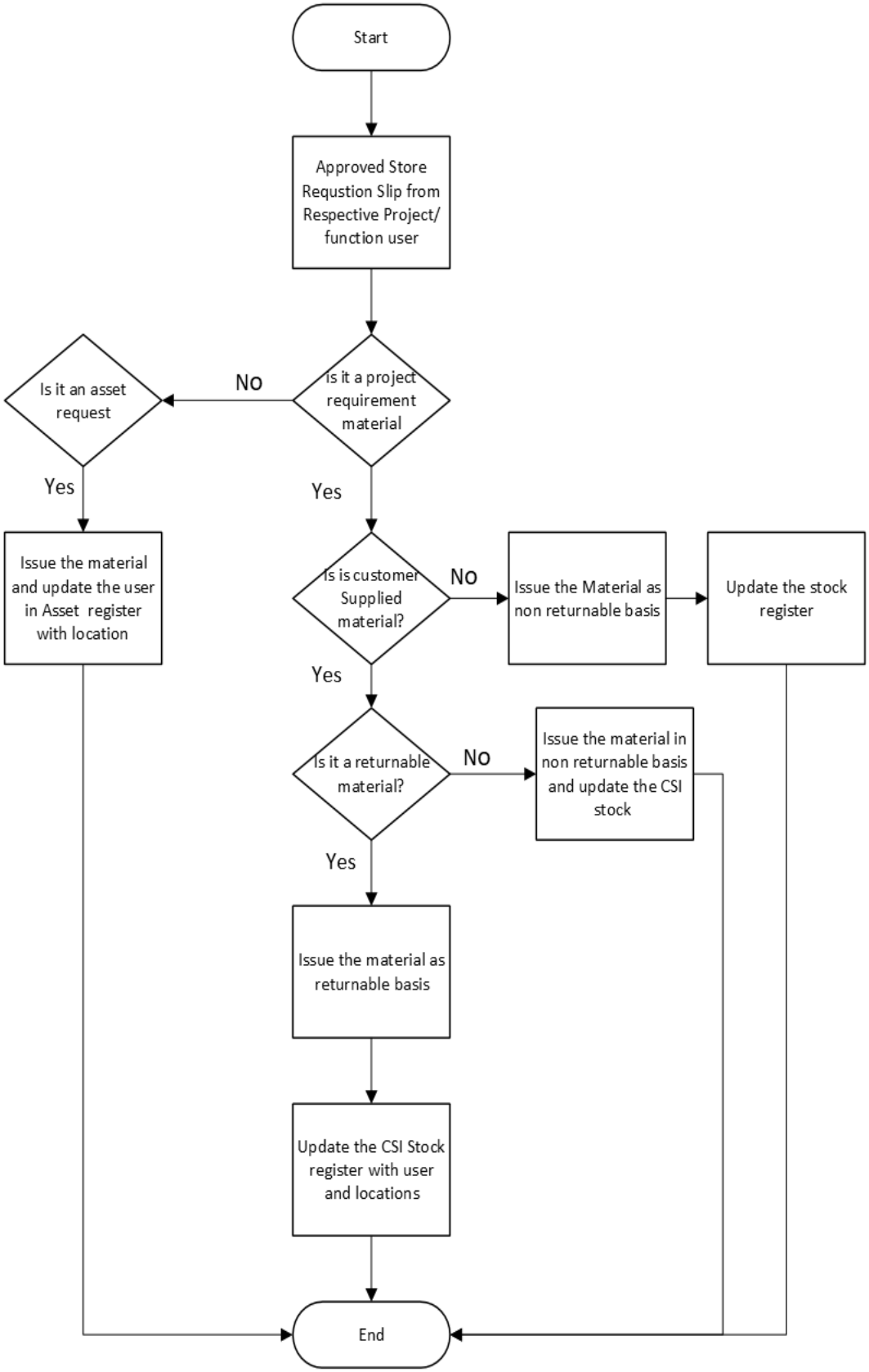
Supplier	Input	Process and Control		Output	Customer
		Process	Control		
Supplier	Purchase order, Delivery note	GRN process	Inspection	Accepted material	Stores
Store in charge	Store issue slip	Inventory Handling	Update of records	Material issued, Stock Register, Asset Register Customer Suppled Asset Register	Project team & support functions
Warehouse	Purchase request, Stock transfer request	Stock Transfer	Stock register updates, Statutory documents for material movement	Material transfer from warehouse	Project team

8 Overall Process Flow Chart

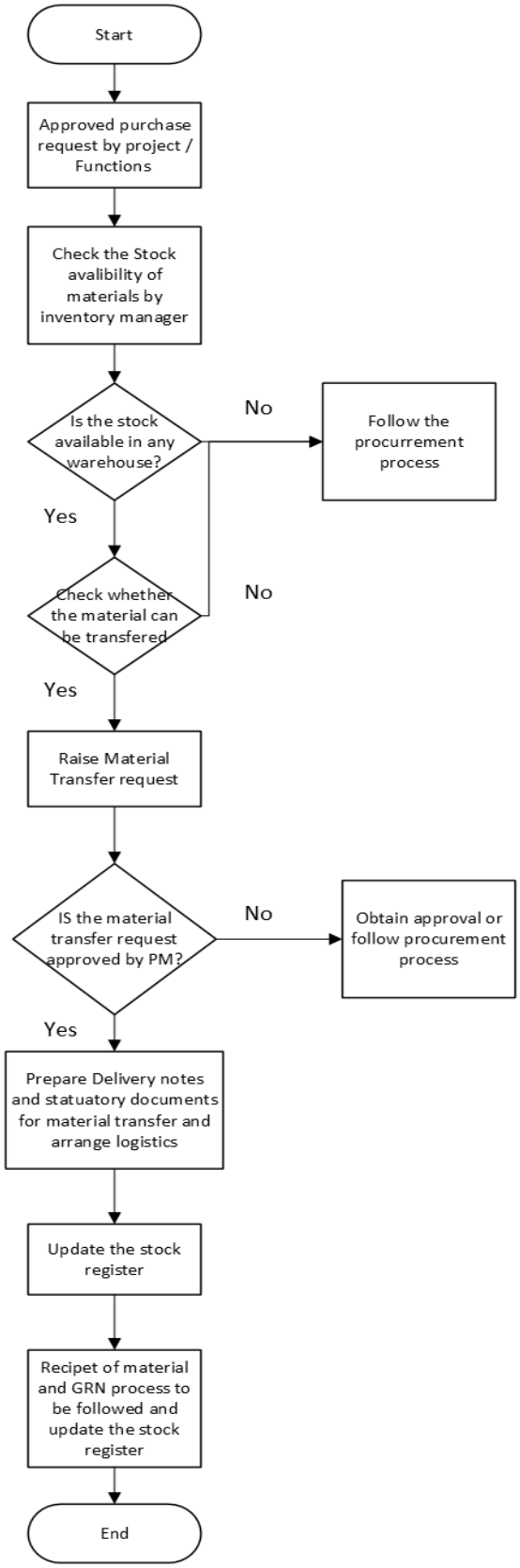
a) GRN Process



b) Inventory Handling



c) Stock Transfer Process



9 Process Description

9.1 GRN Process

a. Security:

- The Logistic vendor/driver shall report to the security with following records as minimum to inform the arrival of material.
  - Delivery notes
  - Invoice Copy
  - E-way bills
- The Security personnel shall verify the above listed records for purchase order details and no. of packages or crates.
- Upon completion of verification the security personnel shall make the entry in the material inward register and shall inform the store in charge.

b. Store in charge:

- Once the material is received unload the items in receiving area.
- The store in charge shall verify the incoming records such as Delivery notes, invoice copy to the respective purchase order.
- Upon verification of records quantity verification shall be done as per the incoming records.
- Once verified store in charge shall create Goods Receipt note and intimate site team/project team/project manager/procurement team for the receipt of materials.

c. Project Team

- Technical leads/requestor shall carry out the inspection of the received material.
- Upon the confirmation that material meets the purchase order requirement the inspection personnel shall approve the GRN.

d. Stock Update

- Once the GRN is approved by the approving authority the materials will be updated in the stock register.
- If the materials are customer supplied items, it shall be identified by unique ID and the same shall be updated in Customer Asset register.
- All IT hardware and software shall be handed over to It team and same shall be updated in IT Asset register.
- If the procured material is a company asset upon GRN approval the Asset register shall be updated.

9.2 Inventory Handling

9.2.1 Warehouse Classification

a. Warehouses defined for managing materials, equipment, and components that are required for the projects & organization. The projects involved with supply chain with tight deadlines, high-value equipment, and a wide variety of materials that must be organized efficiently.

b. All the warehouse shall have designated area for storing customer supplied items until it is requested by project teams or when return is initiated by project team.

c. The warehouse shall be classified as follow

- Project Specific Warehouse (onsite warehouse)
- Centralized Warehouse (Facility Warehouse)
- Work In progress (Materials in vendor location)

d. Project Specific Warehouse (onsite warehouse)

- When the projects are executed at locations other than the office facility a warehouse built or rented specifically for the project, typically located close to the project execution site. It is dedicated to storing materials and equipment that will be used directly in the project.
- Store in charge will be responsible for maintaining the warehouse as per this SOP.
- The projects shall have their designated warehouses.
- In case of multiple projects executed in proximity a centralized warehouse shall be assigned to all projects.
- For Embedded projects the embedded lab with stores will be designated as Embedded Warehouse.
- Production facility warehouse shall be designated as production warehouse.

e. Centralized Warehouse (Facility Warehouse)

- A larger, centralized warehouse used for storing and consolidating materials and equipment for multiple projects in a specific region or area.
- At present the registered office stores will be designated as centralized warehouse.

f. Work In progress (Materials in vendor location)

- For project requirements the materials and items shall be outsourced to competent vendors.
- The material free issued to vendors for outsourced services shall be identified as Work in progress warehouse with vendor location.

9.2.2 Store issue Request

- Based on the requirements from projects/site/support functions shall raise the store issue slip.
- The store issue slip shall be approved by site manager for site requirements/ project manager for project requirements/production supervisor for product manufacturing/Heads of respective Support function shall approve the store issue slip.
- Store in charge shall verify the stocks availability and checks if the request is for customer supplied items.
- If the request is for customer supplied item, then check whether it is a returnable item or non-returnable.
- When the material is returnable issue the CSI to the requestor on returnable basis and update the customer asset register with user and its project details.
- If the material is non-returnable then issue the items to the projects and update the customer asset register.
- If the request is for assets, material shall be issued from asset and asset stock register shall be updated.

9.2.3 Scrap Management

- The items/Asset/Material procured is decided to be scrapped because of life expiry or not repairable.
- The Material movement to scrap shall be raised by the concern asset owner and shall be validated by the inventory manager.
- If the items/material/asset is not in working condition upon verification the request shall be approved.
- The items/material/asset shall be moved to scrap and shall follow the disposal management SOP as per the EHSMS requirements.

9.3 Material Transfer within projects

a. During the process of purchase request to procurement process, PR shall be verified for stock availability within the warehouses.

b. If stock is available, the requestor shall raise material transfer request to inventory manager.

c. The inventory manager shall verify and forward the request to the respective project manager/Site manager.

d. Based on the approval from project/site manager the material movement shall be processed.

e. Generate Delivery notes and statutory documents for material movement.

f. Once the material is moved update the stock register.

g. Upon receipt of material from other warehouse, GRN and inspection process shall be carried out.

h. Based on the inspection and acceptance of material, Stock register shall be updated.

10 Information Security requirements

a. Established operational control procedures and records are to be classified with designated access controls and ensuring physical and digital safety by data encryption with compliance as per ISO 27001 protocols on data confidentiality and integrity.

11 References

a. SOP Procurement – UT/SF/PRO/SOP

b. SOP Waste disposal management

12 Metrics

a. Inventory turnover ratio.

b. Backorders.

c. Cost of Inventory holding.

d. Just in time inventory ratio.

e. On-time delivery rate.

f. Material usage efficiency.

g. Inventory Accuracy.

h. Excess Inventory.

i. Return Rate of Materials

j. Lead Time Variance.

k. Safety stock levels.

13 Annexures

a. NA

14 Forms

a. Goods Receipt Note UT/SF/PUR/TMP/06.

b. Delivery Note. UT/SF/INVM/TMP/01

c. Purchase Order. UT/SF/PUR/TMP/02

d. Material Stock Register UT/SF/ADP/TMP/15.

e. Material Transfer request. UT/SF/INVM/TMP/02

f. Store Issue Slip UT/SF/ADP/TMP/14.

g. Material inward register. UT/SF/INVM/TMP/03

h. Material outward register. UT/SF/INVM/TMP/04

i. Material Stock register UT/SF/ADP/TMP/15.